Before the Public Service Commission

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY AND KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID

Rebuttal Testimony

of

Christopher J. Connolly

September 18, 2019

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I. Introduction

Q. Please state your name and business address.

A. My name is Christopher J. Connolly. My business address is 404 Wyman Street, Waltham, Massachusetts 02451.

Q. Are you the same Christopher J. Connolly who previously submitted testimony in these proceedings?

A. Yes. Capitalized terms defined in my direct testimony have the same meanings here.

Q. What is the purpose of your rebuttal testimony?

A. The purpose of my rebuttal testimony is to respond to certain recommendations presented in the testimonies of the Department of Public Service Staff ("Staff") Policy Panel ("SPP") and Staff Information Technology Panel ("SITP"). Specifically, I will address the following topics:

(i) The SITP's recommendation to apply cost adjustments to the GBE Program, including the proposal to impose an overall cap on the amount of investment the Companies can recover for the GBE Program;

(ii) The SITP's recommendation of a downward-only net utility plant and depreciation expense tracker applicable to the GBE Program;

(iii) The SITP's recommendation to implement specific performance benchmarks related to the GBE Program; and

(iv) The SITP's recommendation to implement additional GBE Program reporting.

Q. Please summarize the Companies' response to Staff's testimony.

A. The Companies filed rates for the Rate Year commencing April 1, 2020, and submitted additional information to enable the Public Service Commission (the "Commission") to set rates for the subsequent three years (*i.e.*, April 1, 2021 through March 31, 2024, which are collectively referred to hereinafter as the "Data Years" and individually as a "Data Year"). Staff conducted a thorough review of the Companies' GBE Program; however, the SITP limited its testimony and recommendations to the Rate Year. As I explain below, in some instances, the Companies agree with Staff's recommendations, but in other areas we disagree. Where the Companies accept an adjustment or agree with an issue raised by Staff, such acceptance or agreement is affirmatively noted. Where the Companies disagree with Staff's position, or where more information is needed to clarify the record, I indicate that in my testimony.

II. Response to Staff's Recommendations and Proposed Adjustments

Q. Please summarize Staff's recommendations regarding the GBE Program.

A. Staff's recommended adjustments and changes specific to the GBE Program are described primarily at pages 45-49 of the SITP's testimony. The SITP proposes:

(i) an adjustment to remove $57.4 million of investment from the GBE Program budget;

(ii) an overall cap on the amount of investment the Companies can recover for GBE;

(iii) a downward-only net utility plant and depreciation expense tracker for the GBE Program;

(iv) implementation of specific performance benchmarks related to GBE; and

(v) additional GBE-specific reporting.

In addition to the foregoing, Staff also recommends changes in the rate of return that would apply to National Grid USA Service Company, Inc. ("Service Company") Information Technology ("IT") investments, which also would have an impact on cost recovery by the Companies associated with the GBE Program.

A. <u>Proposed $57.4 Million Downward GBE Program Adjustment</u>

Q. Please address the SITP's proposal to remove $57.4 million of investment from the Companies' GBE Program forecast budget.

A. The SITP (pages 46-47) proposes an adjustment to reduce the investment forecast for the GBE Program by $57.4 million as follows: (i) $12.2 million reduction related to increased testing and training; (ii) $21.17 million reduction related to increased legacy project integration complexity; and (iii) $24.03 million reduction for allowance for funds used during construction ("AFUDC").

The Companies disagree with these proposed adjustments. As discussed in the Companies' response to Information Request ("IR") DPS-970, a copy of which is included in Exhibit ___ (SITP-1), pages 1438-1441, between the 2017 Niagara Mohawk Rate Case filing and the 2019 KEDNY/KEDLI filing in this proceeding, the total planned budget for the GBE Program increased from $458.1 million to $515.4 million. This amount excludes $20.1 million for the Strategic Assessment work in Fiscal Year ("FY") 2017 for the development of the GBE Program business case for which the Companies are not seeking recovery. At the time rates were set in the 2017 Niagara Mohawk Rate Case, the base budget for the GBE Program was forecast at $458.1 million. In addition to the base forecast, the GBE Program budget reflected

$61 million as a budget contingency in the event of unforeseen scope changes, changing market conditions affecting vendor and procurement costs, and unanticipated program complexity. Although Niagara Mohawk identified the $61 million amount as a budget contingency in its filing, no portion of it was included in Niagara Mohawk's case because the costs were not sufficiently certain at that time.

Since the 2017 Niagara Mohawk Rate Case, National Grid has completed the procurement process as well as launched the Detailed Design and Delivery Phase of the GBE Program, which firmed up the program spending details. As I describe in my direct testimony (pages 25-28), and as detailed in the Companies' responses to IRs DPS-684, DPS-725, and DPS-970, all of which are included in Exhibit __ (SITP-1), the GBE Program has experienced upward cost pressure and unanticipated program complexity due to several factors. These factors include greater than anticipated challenges and complexities replacing aged systems and developing legacy system interfaces for the Companies' two existing customer information systems ($21.168 million), increased workforce and subject matter expert testing and training and associated software costs ($12.196 million), and estimated AFUDC, which had been incorrectly omitted from the original program cost estimates ($24.025 million). Based on the most recent actual and projected cost

information, National Grid sanctioned an additional $57.4 million of costs from what was reflected in the 2017 Niagara Mohawk Rate Case for the GBE Program, and these updated costs are reflected in this case to set rates for KEDNY and KEDLI. Through August 2019, National Grid has incurred nearly half ($27.7 million) of this total sanctioned amount to advance and implement the GBE Program ($7.653 million for testing and training; $8.668 million to address legacy interfaces; and $11.415 on AFUDC).

The SITP's basis for the $57.4 million downward adjustment is to shield customers from increased costs of the GBE Program. Although I recognize the costs to implement the GBE Program are significant, they are being incurred to enable the Companies to continue to provide safe and reliable service for the benefit of customers into the future. Further, as I addressed in my direct testimony (pages 33-36), in addition to replacing aged and duplicate assets to support future operations, the GBE Program also provides the foundation for enhanced capabilities that support operational benefits and performance improvements. The savings to be delivered once the GBE Program is fully implemented are estimated to significantly exceed the investments in the enhanced capabilities of the program, as described in my direct testimony and shown in Exhibit __ (CJC-5). Absent evidence that such costs are unreasonable or imprudent, which Staff has not provided, the

Commission should approve the Companies' request to set its rates based on the updated GBE Program costs, which include the $57.4 million increase. The Commission should reject Staff's proposed adjustment.

B. Proposed Cap on GBE Program Cost Recovery

Q. Please address the SITP's proposal to set an overall cap on the amount of investment the Companies can recover in rates for the GBE Program.

A. Based on its recommendation to reduce the GBE Program expenditure allowance by $57.4 million, the SITP proposes to impose a cap on the portion of the GBE Program costs the Companies could recover. Specifically, the SITP would limit cost recovery by KEDNY based on maximum capital expenditures of $101.9 million and total operating expenses of $45.2 million. The SITP also would limit cost recovery by KEDLI based on maximum capital expenditures of $47.2 million and total operating expenses of $20.9 million. The Companies disagree with the SITP's recommendation to impose such caps on cost recovery.

As discussed above, the Companies disagree with the SITP's recommended adjustment to reduce expenditures by $57.4 million. These are reasonable and prudent costs to implement the GBE Program for the benefit of customers and are expected to provide efficiency and productivity savings as discussed in my

April 30 direct testimony. Furthermore, as I noted in my direct testimony (page 26), by the Rate Year, KEDNY and KEDLI collectively will have incurred more than $67.4 million in costs in connection with the GBE Program that are not reflected in their revenue requirements and therefore are costs borne by shareholders for the benefit of customers. If the Commission were to adopt the SITP's adjustment, the result would be that the Companies would have incurred in excess of $120 million in unremunerated costs to deliver a project that will have longstanding and significant benefits to customers. Absent a determination that the costs incurred to deliver the GBE Program are unreasonable or imprudent, which Staff has not shown, limiting recovery of costs based on an arbitrary cap that excludes the sanctioned $57.4 million in necessary program costs would be confiscatory and unreasonable.

C. Proposed Downward-Only Net Utility Plant and Depreciation Expense Tracker

Q. Please describe the SITP's recommendation that the Companies implement a downward-only net utility plant and depreciation expense tracker for the GBE Program.

A. The SITP proposes that the Companies implement a downward-only net utility plant and depreciation expense tracker for the GBE Program similar to

what was adopted by the Commission in the 2017 Niagara Mohawk Rate Case.

Q. Do the Companies agree with the implementation of a downward-only tracker in this case?

A. No. Although a tracker may be appropriate for a multi-year rate plan, such as the one adopted by the Commission for Niagara Mohawk, the rationale for such a mechanism is less relevant for a litigated one-year case. Additionally, given that the program operates under a cap for Niagara Mohawk, the Companies are already incented to manage GBE Program costs. For these reasons, the Companies do not support a downward-only tracker for the GBE Program in these proceedings.

D. Proposal to Implement Performance Benchmarks

Q. What is the position of the Companies regarding the SITP's recommendation to implement specific performance benchmarks related to the GBE Program?

A. Although performance benchmarks may be appropriate as part of a negotiated resolution of a multi-year rate plan, there is less of a basis for them in a one-year litigated case. Therefore, unless this matter were to proceed to negotiation that resulted in a multi-year resolution, the Companies do not

support establishing specific performance benchmarks for the GBE Program relative to KEDNY and KEDLI. In the event a negotiated resolution of the case was to be pursued, I recommend that any performance benchmarks that may be established reflect updates and learnings since the time of the 2017 Niagara Mohawk Rate Case; and also that the positive incentive proposal described in my direct testimony be incorporated as part of such a performance benchmark program.

E. Proposal to Modify Service Company Cost of Capital for Rate Setting Purposes

Q. What is the position of the Companies on Staff's proposal to use its proposed cost of capital and corporate structure to set the rate of return applicable to GBE Program charges from the Service Company to the Companies?

A. The Companies disagree with the SITP's proposal to apply the Staff's proposed cost of capital and capital structure to the GBE Program investments of the Service Company. The matter is addressed in the Rebuttal Testimony of Company Witness Jonathan Cohen.

F. Proposed Reporting Requirements

Q. Do you agree with the SITP's recommendation that the Companies implement the reporting and process requirements adopted in the Niagara Mohawk Joint Proposal for the GBE Program?

A. Yes. The Companies agree to implement the same quarterly and annual reporting requirements for the GBE Program as they agreed to provide for Niagara Mohawk. Also, the Companies agree to hold semi-annual meetings with Staff similar as is done on behalf of Niagara Mohawk to (i) discuss budget and actual GBE Program spending to date; (ii) provide an update on the status of GBE Program initiatives that have been undertaken; and (iii) review quarterly filings.

III. Conclusion

Q. Does this conclude your testimony?

A. Yes, it does.